

Market failure and government intervention	Market failure	• explain what is meant by market failure • explain the implication of market failure for efficiency/inefficiency • explain what is meant by market failure in terms of over or under consumption/production and resource allocation • explain what is meant by a public good • evaluate the role of the government in the provision of a public good.
	Externalities	• explain, with the aid of a diagram, what is meant by positive and negative externalities (external benefits and external costs) of consumption • explain, with the aid of a diagram, what is meant by positive and negative externalities (external benefits and external costs) of production • explain what is meant by marginal social cost, marginal external cost, marginal private cost, marginal social benefit, marginal external benefit and marginal private benefit • explain, with the aid of a diagram, why the following cause market failure: ○ negative externalities of consumption ○ negative externalities of production ○ positive externalities of consumption ○ positive externalities of production

Area of Study	Topic	Learners should be able to:
Market failure and government intervention		• evaluate how the existence of externalities affects markets, such as education, health and transport, and the environment.
	Information asymmetries	• explain what is meant by information failure • explain what is meant by asymmetric information and moral hazard • explain, with the aid of a diagram, how information failure causes market failure • explain what is meant by merit and demerit goods in terms of information failures • evaluate the significance of merit and demerit goods.
	Alternative methods of government intervention	• explain why governments intervene in markets • explain, with the aid of a diagram, how the government intervenes in markets to correct or reduce market failure by using, for example: ○ taxation and subsidies ○ government expenditure/state provision ○ buffer stock systems ○ price controls ○ legislation and regulation ○ information provision • evaluate the effectiveness of different types of government intervention in correcting or reducing market failure.
	Government failure	• explain what is meant by government failure • explain what may cause government failure • evaluate the consequences of government failure.